

EFFECT

High interest rates, strong rupee and asset inflation have begun pinching India Inc which is slowing down to breathe as demand slackens after four years of high growth



Consumer Durables

Down by: The sector has recorded a negative growth of -1.4 per cent in the first 10 months of FY2008 from a high of 11.2 per cent recorded in the same period in FY2007

Why? High interest rates and poor availability of finance have resulted in sluggishness in purchases

Impact: The industry could take a hit in terms of investment if consumer confidence is hurt

"Finance is costly and consumption fuelled by loans will be hit, impacting demand. Industry will not grow at 20 per cent."

VENUGOPAL DHOOT, CHAIRMAN & MD, VIDEOCON INDUSTRIES



Capital Goods

Down by: With maximum deceleration, this sector grew 18.5 per cent in the first 10 months of FY2008 as against 20.2 per cent clocked in the same period the previous year

Why? High input costs and supply constraints have hindered growth of this sector

Impact: Could trigger slowdown in investment cycle

"Higher interest rate is a worry for industry when ECB norms are tight and capacity expansion depends on borrowed funds."

SIDDHARTHA ROY, CHIEF ECONOMIST, TATA GROUP

has not impacted inflation. After all, nearly 18 months after the first policy push to control inflation, there is little sign of it abating and last week, the wholesale price index touched a new high of 7.41 per cent. The slowdown is as much due to what the Government did to push up the cost of money as what it did not do. That is, fix the supply side problems which squarely rested at the doorstep of the Agriculture Ministry and clear capacity expansion on the industrial side. For instance, if the Centre had worked with states to push investment proposals pending for the past six years in steel and cement, consumers would not have had to see this day.

Indeed, consumers are sandwiched between two countering forces—the rising cost of money and the rising cost of living. So those buoyed by the wealth effect of rising asset prices now balk at the rising interest costs, thanks to a less wealthy feeling. Similarly, those who save to pay the EMIs on loans for two-wheelers, cars, houses find the gap between their income and savings narrowing down. Consumer traffic is steadily declining in showrooms, as now saving is being preferred to spending. From last year's 65,47,195 units, sales of motorcycles are down to 57,68,341 this year—a decline of 11.7 per cent. Sharp increase in the prices of food items has put added pressure on household budgets and even in the fastest growing domain like mobile phones, consumers are now replacing their handsets only after every nine months instead of the earlier six months.

One could argue that interest rates are not very different from, say 2007, when India notched a 9.6 per cent GDP growth. The fact is it is not just the cost but the availability of funds and capillary action. India is among the least banked countries and consumer finance traditionally comes through dealers and non-bank financiers which has dried up due to the anti-inflation measures. With RBI placing strict norms, lenders have been going slow on consumer loans. While every sector showed lower lending, consumer durables posted a negative trend as early as in November 2007.

The slowdown is, however, seen across all sectors. From capital goods to consumer durables, almost every sector is feeling the heat of high input costs